CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EE98143AC
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

From: Kayne Coulter <kayne.coulter@enron.com>
Sent: Thu, 30 Nov 2000 08:10:00 -0800 (PST)
To: Jay Wills <jay.wills@enron.com>, Cyril Price <cyril.price@enron.com>, John Kinser <john.kinser@enron.com>, Rudy Acevedo <rudy.acevedo@enron.com>, Richard Hrabal <richard.hrabal@enron.com>, Wayne Herndon <wayne.herndon@enron.com>, Juan Hernandez <juan.hernandez@enron.com>, Greg Trefz <greg.trefz@enron.com>, Miguel L Garcia <miguel.garcia@enron.com>, Russell Ballato <russell.ballato@enron.com>, Joe Stepenovitch <joe.stepenovitch@enron.com>, Joe Errigo <joe.errigo@enron.com> ...
Subject: Re: Notice of Pending Changes (effective 12/18/2000) to MAPP's Loss Repayment Procedure

---------- Forwarded by Kayne Coulter/HOU/ECT on 11/30/2000 04:13 PM ----------

Patrick Hanse
11/30/2000 10:03 AM
To: Terri Clynes/HOU/ECT@ECT, Dave Mangskau/Corp/Enron@ENRON, Mitch Robinson/Corp/Enron@Enron, Kayne Coulter/HOU/ECT@ECT, Christi L Nicolay/HOU/ECT@ECT
cc: Matt Lorenz/HOU/ECT@ECT, Edward D Baughman/HOU/ECT@ECT
Subject: Re: Notice of Pending Changes (effective 12/18/2000) to MAPP's Loss Repayment Procedure

I called MAPP to get a better understanding of the pending Dec. 18th LRP changes as explained in detail below.
Currently the "source" generator is responsible for the Losses. The new policy states that the Scheduling customer is now responsible for Losses. MAPP is implementing this change as a requirement under their tariff. Changes to software and systems has delayed this change from being implemented any earlier.
What it means to Enron as a Schedule F customer:
1) Enron (or any Schedule F customer) is responsible for losses based on a yet to be published Loss Matrix that MAPP will provide on it web page. The loss calculation matrix and methodolgy will not change, just the party responsible for providing the losses. When scheduling energy, Enron must either schedule physical losses or buy losses from a designated Source Scheduling participant (SSP). The SSP will then be responsible for disbursing the losses to each designated CA a week later.
The identity of the SSP will be the Source of power (if a MAPP member), or the POR on your Schedule F (If Source is outside MAPP).

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ENRON-778738843546

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Terri Clynes
11/20/2000 10:40 AM
To: Matt Lorenz/HOU/ECT@ECT, Patrick Hanse/HOU/ECT@ECT
cc:
Subject: Notice of Pending Changes (effective 12/18/2000) to MAPP's Loss Repayment Procedure

---------- Forwarded by Terri Clynes/HOU/ECT on 11/20/2000 10:40 AM ----------

"Dan S. Fredrickson" <DS.Fredrickson@mapp.org>@mapp.org on 11/17/2000 05:21:59 PM
Sent by: owner-pemc@mapp.org
To: <rtc@mapp.org>, <pemc@mapp.org>, <mrc@mapp.org>, <rin@mapp.org>
cc:
Subject: Notice of Pending Changes (effective 12/18/2000) to MAPP's Loss Repayment Procedure

Notice of new MAPP Loss Repayment Policies and Procedures

At the direction of the Regional Transmission Committee of MAPP, new Loss Repayment Policies and Procedures will be implemented on December 18, 2000. These changes make the transmission customer, as identified on the OASIS reservation, responsible for paying energy losses on MAPP Schedule F transmission service. Previously, the MAPP Source entity has been responsible for paying these losses. These changes do not modify the application of MAPP's Loss Repayment Procedure (LRP) to MAPP Member Open Access Transmission Tariff (OATT) customers. Changes to the administration of Schedule F loss repayment include:
o The Schedule F transmission customer will now be responsible for the LRP losses on their energy schedules.
o Payment of third party impacts due to "through flowing" Schedule F transactions (where the Source and Sink are both outside MAPP) will be included in the LRP.
o To facilitate the payment of third party losses, the Customer will make arrangements with the Source Scheduling Participant (SSP), as defined on the transmission reservation, to pay for energy transaction losses at the onset of a schedule.
o The SSP will bank the losses for repayment of third party losses, one week later, to the day. The repayment is done, as it is today, according to a

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schedule sent out by the MAPP Center.
For additional information please see the business practices section of MAPP's Schedule F OASIS:
http://mapp.oasis.mapp.org/documents/MAPP/practices.html

Questions may be e-mailed to Tom White at the MAPP Center:
ts.white@mapp.org

Answers to frequently asked questions will be posted at the URL given above.

A copy of the revised section five of the policies and procedures document is attached.

Dan Fredrickson
MAPP Transmission Operations

- lrppolicy20001218.doc

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